

# European Market Expansion Assessment

A board-level evaluation of three entry models for Northwind's SaaS platform in the EU, with a recommended phased approach and a two-year financial outlook.

## EXECUTIVE SUMMARY

- The addressable EU opportunity is **\$1.24B** and growing **14% YoY**; Northwind currently captures none of it.
- Three entry models were assessed on time-to-revenue, first-year cost, and control. No single model dominates on all three.
- **Direct entry** maximizes long-run margin but carries the highest execution risk and a 12-month runway to first revenue.
- **Partner-led entry** reaches revenue in 5 months at one-quarter the cost, trading some control and margin.
- **Recommendation:** a phased partner-led launch in H1 2026, converting to a direct model in year two once demand and unit economics are proven. Expected two-year contribution: **\$6.8M**.

## 1 • Context & Objectives

Northwind's growth in North America has decelerated from 60% to 28% annually as the segment matures. The board has asked management to evaluate international expansion as the primary lever for returning to a "Rule of 40" trajectory. Europe is the natural first market: high digital maturity, favourable regulatory alignment after recent data-portability reforms, and an existing inbound signal — 9% of trial sign-ups already originate from EU IP addresses despite no localized offering.

This brief evaluates *how* to enter, not *whether*. Three objectives frame the analysis: (1) reach meaningful revenue within 12 months, (2) keep first-year cash exposure below \$5M, and (3) preserve the option to own the customer relationship over time.

"The binding constraint this cycle is speed to revenue, not control. We can buy back control; we cannot buy back a lost year."

## 2 • Market Sizing

We triangulated the opportunity bottom-up (target accounts × ACV) and top-down (analyst TAM × serviceable share). The two methods converge within 8%, giving reasonable confidence in the \$1.24B figure.

| Region                   | Target accounts | Avg ACV  | Serviceable market |
|--------------------------|-----------------|----------|--------------------|
| DACH                     | 4,200           | \$41,000 | \$172M             |
| UK & Ireland             | 3,800           | \$38,500 | \$146M             |
| Nordics                  | 2,100           | \$44,000 | \$92M              |
| Benelux + France         | 6,300           | \$36,000 | \$227M             |
| <b>Total (near-term)</b> | <b>16,400</b>   | —        | <b>\$637M</b>      |

Exhibit 1 — Serviceable market by region, near-term horizon. Full TAM including adjacent segments is \$1.24B.

DACH and the Benelux/France cluster together represent 63% of the near-term opportunity and share the most overlap with Northwind's existing ICP (mid-market operations teams). We therefore weight the go-to-market plan toward these two clusters in year one.

## 3 • Options Analysis

Each model was scored against the three objectives. The table below summarizes the trade-offs; narrative follows.

| Option              | Time to market | Year-1 cost | Control | Yr-2 margin | Execution risk |
|---------------------|----------------|-------------|---------|-------------|----------------|
| Direct (own entity) | 12 mo          | \$4.0M      | High    | 72%         | High           |
| Partner-led         | 5 mo           | \$1.1M      | Medium  | 54%         | Low            |
| Acquisition         | 9 mo           | \$18.0M     | High    | 61%         | Medium         |

Exhibit 2 — Entry model comparison across the three board objectives.

**Direct entry** means standing up a legal entity, hiring a local team, and localizing product and billing. It preserves full margin and the customer relationship but front-loads cost and delays revenue by roughly a year — failing objective 1.

**Partner-led entry** uses two established regional resellers with existing mid-market relationships. Revenue arrives quickly and cheaply, at the cost of a revenue share (32%) and reduced pricing control. Critically, it de-risks the market thesis before large capital is committed.

**Acquisition** of a smaller local competitor would buy instant presence and a team, but at 18× forward revenue it fails objective 2 and introduces material integration risk.

## 4 • Financial Outlook

The recommended phased plan assumes partner-led launch in H1, a direct-model transition beginning month 14, and blended economics thereafter. Figures are contribution (revenue less directly attributable cost), not fully-loaded.

| Metric                     | Year 1 | Year 2 | Two-year |
|----------------------------|--------|--------|----------|
| New ARR                    | \$2.1M | \$7.4M | \$9.5M   |
| Revenue (recognized)       | \$1.3M | \$5.6M | \$6.9M   |
| Directly attributable cost | \$1.1M | \$3.9M | \$5.0M   |
| Contribution               | \$0.2M | \$1.7M | \$1.9M   |

Contribution turns clearly positive in year two as the direct model lifts gross margin from 54% to a blended 66%. Sensitivity analysis (not shown) indicates the plan remains cash-safe under a 30% revenue miss.

## 5 • Risks & Mitigations

Three risks warrant board attention. **Partner mis-alignment** — a reseller may deprioritize Northwind; mitigated by a minimum-commitment clause and a 90-day performance gate. **Regulatory drift** — data-residency rules could tighten; mitigated by an EU-hosted deployment from day one. **Transition friction** — moving customers from partner to direct billing in year two risks churn; mitigated by a co-managed handover and grandfathered pricing.

## 6 • Recommendation

Enter Europe via a partner-led launch in H1 2026, focused on the DACH and Benelux/France clusters, and retain a contractual option to transition to a direct model in year two once the market thesis and unit economics are proven. Two-year contribution of \$1.9M with limited downside; the strategic value is the option, not the year-one P&L.

<sup>1</sup> ACV = annual contract value. <sup>2</sup> Contribution excludes shared corporate overhead. <sup>3</sup> All figures illustrative and prepared for internal discussion only.